

Independent Auditor's Report

To

**The Members of
M/s STARTUP ODISHA**

Report on the Audit of the Standalone Financial Statements Opinion

1. Opinion

We have audited the standalone financial statements of **STARTUP ODISHA** ("the Company Registered u/s 8 of the Companies Act, 2013"), which comprise the Balance Sheet as at 31st March 2023, the Statement of Income & Expenditure and the Statement of Cash Flow for the year ended on that date, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information. Considering the preliminary objection memos issued by CAG, the company has re-casted the books of accounts for FY 2022-23, which mainly covers Accounting Standard-12 & made disclosure in Notes to Account and accordingly the auditor's report has been revised.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the State of Affairs of the Company as at March 31, 2023, and its **Excess of Income over Expenditures**, for the year ended on that date.

2. Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

3. Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's Annual Report but does not include the standalone financial statements and our auditors' report thereon. Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that facts, which are given below.



- a. Collection and Payment entries are done without making the due entry.
- b. The company has shown GST Cash Credit Ledger of IED as current asset as per IED records.
- c. Grant given to new Startups are not categorized segment wise i.e. MAG (Monthly Allowance Grant), PDMA (Product Development Monthly Allowance) and NBA (Need Based Assistance) in the books of accounts.
- d. Prior period income of Rs.3,30,000/- have been booked in books of accounts by making the bill in the current financial year due to delayed communication.
- e. The billing of M/s Odisoft Technologies Pvt. Ltd has not been done for the period August,2022 to March,2023. The same company has left the rented space without communication and a sum of Rs.53100/- is due.
- f. The company has conducted 3 board meetings during the financial year 2022-23 which is within the minimum norms as per the Companies Act 2013.
- g. In line with Schedule III of Companies Act, 2013, Rental income from O-HUB amounting to Rs.33,29,000/- is shown under revenue from operation as the company has to provide a basic requirement of space to Startup Entrepreneurs even though the ownership of O-HUB is not with the STARTUP ODISHA. Further as per the decision of Govt. of Odisha, the O-Hub building will remain under the operational control of Startup Odisha.
- h. Out of Govt. grants of Rs.50,99,98,000/-received by IED from 2016-17 till 2021-22, the unutilized grant with IED was Rs.21,80,65,844.01 as on 01/04/22. During the year 2022-23, IED transferred Rs.16,92,35,812/- on different dates to STARTUP ODISHA along with expenditure details of Rs.4,88,30,032.01. The Company has booked total expenditure of Rs.15,64,75,608.63 including Rs.4,88,30,032.01 spent by IED on behalf of Startup Odisha in it's books during FY 2022-23 and balance unutilized amount is shown in other current liabilities under unutilized Grant-in-Aid from Govt. of Odisha.
- i. Interest earned on unutilized grants by Govt from FY 2016-17 to 2022-23 payable to Govt. for an amount of Rs.3,00,15,199/- is shown under other current liabilities. However, the interest figure shown in the books of accounts is net off TDS.

Goods & Service Tax:

As per GST Portal records the total revenue is Rs.17,12,737/- and as per books of accounts the total revenue is Rs.35,91,237/-. It is noticed that the company has filed return by adding revenue of Rs.18,68,500/- for FY 2022-23 in April 2023. There is still a difference of Rs.10,000/- which is the income of February,2023 and the management has assured that the same will be filed and regularized in the FY 2023-24.

TDS:

The company has duly filed the TDS and GST TDS return during the financial year. But in books of accounts the GST TDS amount of Rs.1,27,614/- is clubbed with TDS.



4. Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements.

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the company's financial reporting process.

5. Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also, as part of an audit in accordance with SAs, exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

6. Report on Other Legal and Regulatory Requirements

- i. This report **does not include** a statement on the matters specified in paragraph 3 and 4 'the Companies (Auditor's Report) Order, 2020', issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act (hereinafter referred to as the "Order"). In our opinion and according to the information and explanations given to me, the said Order is **not applicable** to the Company.
- ii. As required by Section 143 (3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Income and Expenditure and the Statement of Cash Flow dealt with in this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - e) Based on the written representations received from the directors or its office as on March 31, 2023, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023, from being appointed as a director in terms of Section 164 (2) of the Act.
 - f) With respect to the requirements of reporting relating to adequacy of the internal financial control over financial reporting of the Company and the operating effectiveness of such controls, in our opinion the said requirements are full filled by the Company (Annexure "A")
 - g) With respect to the matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the act as amended,



- (i) The remuneration paid by the company to its directors is in accordance with the provisions of this section.
 - (ii) Regarding "Report on Other Legal and regulatory requirements" Accordingly, as informed to us the company is directly or indirectly set up by the Govt. of Odisha and complied with all other legal & regulatory requirements.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our knowledge and belief and according to the information and explanations given to us:
- i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements as of 31st March 2023.
 - ii. The Company did not have any long-term contracts including derivative contracts as of 31st March 2023, for which there were any material foreseeable losses.
 - iii. The company has not declared any dividend till the year ended 31st March 2023 hence transfer to, the Investor Education and Protection Fund by the Company does not arise.
 - iv. (a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
(b) Based on audit procedures which we considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (i) and (ii) contain any material misstatement.
 - v. The company has not declared or paid any dividend during the year and has not proposed a final dividend for the year.
- iii. Report on Directions under Section 143(5) of the companies act, 2013 and other Sector Specific Additional Directions is attached herewith in Annexure "B".

For K SWAIN & CO

Chartered Accountants

Firm Regn. Number: 323847E



CA Satyanarayan Jena, FCA

Partner

Membership Number: 054086

UDIN: 23054086BGQTNC4153

Place: Bhubaneswar

Dated: 12-12-2023



Annexure “A” to the Independent Auditors’ Report of even date on the Standalone Financial Statements of M/s *STARTUP ODISHA*.

(Referred to in paragraph 6 (ii) (f) under ‘Report on Other Legal and Regulatory Requirements’ of our report of even date)

Report on the Internal Financial Controls under Clause (i) of Sub- section 3 of section 143 of Companies Act, 2013 (“the Act”)

We have audited the internal financial controls over financial reporting of **M/S. *STARTUP ODISHA*** (“the Company”) as on 31st March 2023 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company’s internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial control system over financial reporting and their operating effectiveness. Our audit of internal financial control over financial reporting included obtaining an understanding of internal financial control over financial reporting, assessing the risk that a material weakness exist, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company’s internal financial controls system over financial reporting.



Meaning of Internal Financial Control over Financial Reporting

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Generally Accepted Accounting Principles. A Company's internal financial control over financial reporting includes those policies and procedures that;

- (1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with Generally Accepted Accounting Principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and
- (3) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, includes the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial controls over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2023, based on the internal controls over financial reporting criteria established by the Company considering the components of internal controls stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by The Institute of Chartered Accountants of India.

For K SWAIN & CO.

Chartered Accountant

Firm Registration Number: 323847E



CASatyanarayan Jena, FCA

Partner

Membership Number: 054086



UDIN: 23054086BGQTNC4153

Place: Bhubaneswar

Dated: 12.12.2023

Annexure “B” to the Independent Auditor’s Report of even date on the Standalone Financial Statements of M/s *STARTUP ODISHA*.

(Referred to in paragraph 6 (iii) under ‘Report on Other Legal and Regulatory Requirements’ of our report of even date)

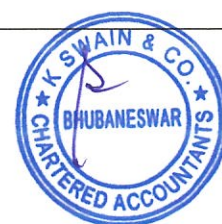
Annexure “B” to the Independent Auditor’s Report of even date on the Standalone Financial Statements of M/s *STARTUP ODISHA*.

Directions under section 143 (5) of the Companies Act, 2013

Sl. No.	Directions	Comments
1	Whether the company has clear title/lease deeds for freehold and leasehold respectively? If not please state the area of free hold and leasehold and for which title/lease deeds are not available?	Currently the Company is located on the 2nd Floor, Tower A, Odisha Startup Incubation Centre (O- Hub), SEZ Chandaka, Bhubaneswar, Khordha, Odisha- 751024. The building will be purchased by MSME from Odisha Industrial Infrastructure Development Corporation (IDCO) and MSME has expressed their interest through PRESS NOTE dated 18.08.2023 that the building will remain under the operational control of Startup Odisha.
2	Whether there are any cases of waiver/write off debts/loans/interest etc. If yes, the reasons of such cases and the amount involved may be intimated.	NO
3	Whether proper records are maintained for inventories laying with third parties and assets received as gift/grants (s) from the Government or other authorities.	Only soft copy was shown to us and no asset register is maintained

Sector Specific Additional Directions:

Sl.No	Directions	Comments
1	Whether the Company has complied with the directions issued by Reserve Bank of India for: • Non-Banking Finance Companies (NBFCs); • Classification of non-performing assets; and • Capital adequacy norms for NBFCs.	NA
2	Whether the company has a system to ensure that loans were secured by adequate security free from encumbrances and have first charge on the mortgaged assets. Further, instance of undue delay in disposal of seized units may be reported	NA



3	Whether introduction of any scheme for settlement of due and extension thereto complied with policy/Guidelines of Company/Government	NA
4	Comment on the confirmation of balance of trade receivables, trade payables, term deposits, bank accounts and cash obtained.	No. Only Balance Certificate of Bank is available.
5	Whether the Bank guarantees have been revalidated in time?	NA
6	Describe the deviation from the system of payment for land acquisition including compensation under Resettlement & Rehabilitation policy of the State Government. Cases of land disputes should be mentioned.	NA
7	Is the system of sanction, disbursement and recovery of industrial loan effective? State the cases of deviations from rules, regulations and policies in regard to rescheduling. Waiver of loans/interest and One Time Settlement schemes etc.	NA
8	Examine and state the system of allotment of industrial plots/sheds including recovery of instalments from the allottees. What is the system of imposing penalty due to delay in setting up of business or starting business other than the one for which the allotment was made?	NA
9	The system of managing the default cases shall be examined. Have all remedial steps taken within the prescribed time limits? The cases of non-compliance to establish system shall be detailed.	NA
10	Examine and provide details of liabilities, if any on account of delay in handing over of the project to allottees and its consequent accounting.	NA
11	State the cases where loans received from Central Government/State government/any Government agencies, have been diverted from the purpose for which these were received. Whether the Company has an effective system for recovery of dues in respect of its sales activities and whether the dues outstanding and recoveries there against have been properly recorded in the books of accounts? The effectiveness of such system followed may be examined and reported.	The billing of M/s Odisoft Technologies Pvt. Ltd has not been done for the period August,2022 to March,2023. The company has left the rented space without communication and a sum of Rs.53100/- is due. No action has been taken for recovery.
12	Whether the company has effective system for physical verification, Valuation of stock, Treatment of non-moving items and accounting the effect of shortage/excess noticed during physical verification.	There is no effective system in use being a new company.

